

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 741

BY EDUCATION COMMITTEE

AN ACT

RELATING TO EDUCATION; AMENDING CHAPTER 52, TITLE 33, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 33-5207A, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING EARNED AUTONOMY FOR PUBLIC CHARTER SCHOOLS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 52, Title 33, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 33-5207A, Idaho Code, and to read as follows:

33-5207A. PUBLIC CHARTER SCHOOL EARNED AUTONOMY. (1) Notwithstanding any provision of law to the contrary, a public charter school that is not a virtual school, as defined in section 33-5202A, Idaho Code, and that satisfies the requirements set forth in section 33-5218(2)(b), (e), and (g), Idaho Code, may spend its allocated state funding, including but not limited to discretionary funds, categorical funds, and salary apportionment, in the manner it deems best serves students and the public charter school. Participation shall not require a revision to the public charter school's charter or performance certificate.

(2) State funding for participating public charter schools shall be based on each school's per-pupil funding in the prior fiscal year, adjusted to account for changes in statewide education funding and changes in the school's population in the subsequent year, by multiplying the total state funding allocated to the public charter school per-pupil in the prior fiscal year by the year-over-year change. To determine the year-over-year change:

(a) Divide the prior fiscal year's total state funds by the prior fiscal year's support units;

(b) Divide the subsequent fiscal year's total state funds by the subsequent fiscal year's support units; and

(c) Calculate the difference between the results of paragraphs (a) and (b) of this subsection.

(3) Participating public charter schools shall be exempt from the reporting requirements, including reporting requirements established through rulemaking authority, pursuant to sections 33-119, 33-1002, 33-1002B, 33-1004E, 33-1007, 33-1405, 33-1805, 33-1811, and 33-2004, Idaho Code, without incurring a penalty or a reduction in funding.

(4) Participating public charter schools shall automatically maintain spending flexibility from year to year, except that the state department of education may revoke eligibility if:

(a) The school fails to receive an annual unmodified audit opinion or if the auditor's report on internal controls reports one (1) or more material weaknesses or significant deficiencies;

1 (b) The school fails to satisfy the academic requirements set forth in
2 section 33-5218(2)(g), Idaho Code, for two (2) or more years; or

3 (c) The school's charter is subsequently revoked, not renewed, or re-
4 newed with conditions.

5 (5) Teachers who transition from a participating public charter school
6 to another public school shall be considered to have advanced along the ca-
7 reer ladder for each year of work at the participating school.

8 (6) In 2029, the state board of education shall report to the legis-
9 lature the number of participating schools and changes, if any, in student
10 growth or proficiency on the Idaho standards achievement test.

11 (7) Nothing in this section shall impact the appropriation of federal
12 and dedicated funds. State funding for public charter schools that are not
13 participants in the spending flexibility provided in this section shall
14 continue to be calculated and allocated pursuant to section 33-5207, Idaho
15 Code.

16 SECTION 2. An emergency existing therefor, which emergency is hereby
17 declared to exist, this act shall be in full force and effect on and after
18 July 1, 2026.